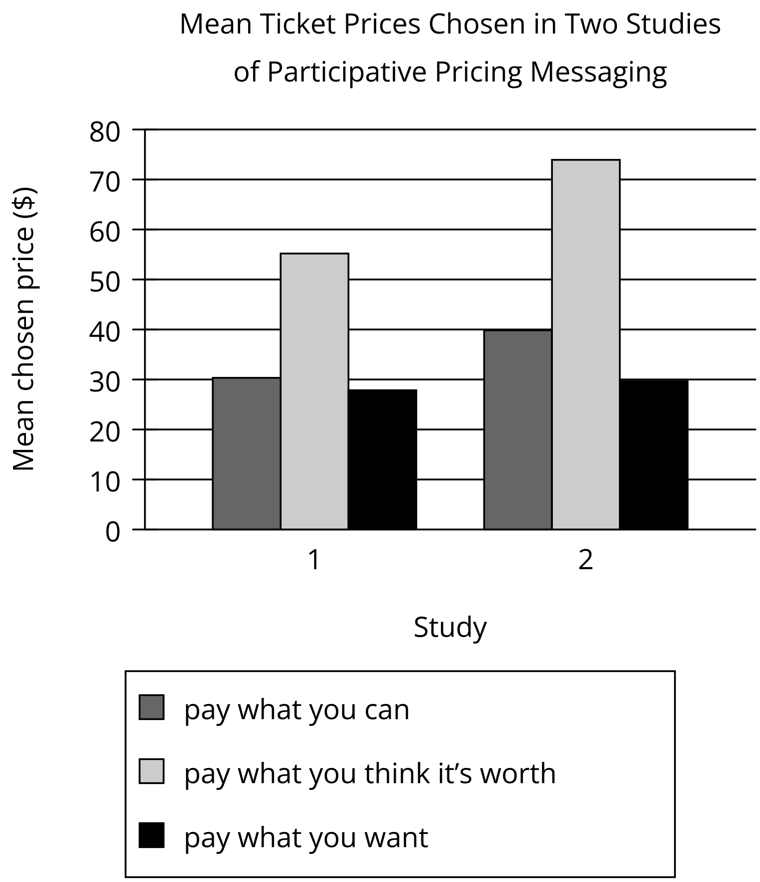
Question ID: 3430be35

Question



Participative pricing, in which purchasers choose the prices they pay for products, can enable sellers to capitalize on the heterogeneous values consumers assign to the same goods and services, but doing so requires careful messaging. Annie Peng Cui and Jennifer Wiggins recruited 171 participants (ages 18–60) online for an initial study and 83 students (ages 18–31) at a state university for a second study to test the effect of three different messages—"pay what you can," "pay what you think it's worth," and "pay what you want"—on how much participants would pay for concert tickets. Their results illustrate both the heterogeneity of consumer valuations and how sellers can benefit by prompting consumers to consider their own valuations: ______

Which choice most effectively uses data from the graph to complete the text?

Answer

A. the students tended to value the concert tickets more highly than did the more age-diverse group recruited online, but when considering what they could afford to pay, the students tended to choose a lower price than did the other group.

B. in all three messaging conditions, the group of participants recruited online tended to choose lower prices than did the students, but both groups tended to choose prices closest to the actual cost of the tickets when prompted to consider the tickets' value.

C. the students tended to value the concert tickets more highly than did the more age-diverse group recruited online, but both groups tended to choose a higher price when considering the value of the tickets than when considering what they could afford or wanted to pay.

D. within each group of participants, there was wide variation in the value that individuals assigned to the concert tickets, but the students tended to assign a higher value to the tickets than did the more age-diverse group recruited online.